13.2.3 Need for adjustment entries

The need arises to pass adjusting entries for the following reasons:

(i) To record omissions in trial balance such as closing stock, interest on capital, interest on drawings, etc.
(ii) To bring into account outstanding and prepaid expenses.
(iii) To bring into account income accrued and received in advance.
(iv) To create reserves and provisions.

13.2.4 Adjustments and adjustment entries

The following are the common adjustments and adjustment entries which are made while preparing the final accounts.

(i) Closing stock (ii) Outstanding expenses (iii) Prepaid expenses
(iv) Accrued income (v) Income received in advance (vi) Interest on capital
(vii) Interest on drawings (viii) Interest on loan (ix) Interest on investment
(x) Depreciation (xi) Bad debts (xii) Provision for bad and doubtful debts
(xiii) Provision for discount on debtors (xiv) Income tax paid
(xv) Manager's commission

(i) Closing stock

The unsold goods in the business at the end of the accounting period are termed as closing stock. As per AS-2 (Revised), the stock is valued at cost price or net realisable value, whichever is lower.



According to Indian Accounting Standards, AS-2 (Revised), "Net realisable value is the estimated selling price in the ordinary course of business less the estimated cost of completion and the estimated cost necessary to make the sale."



The principle of valuation of stock is based on the convention of conservatism.

Adjusting entry

Particulars		L.F.	Debit ₹	Credit ₹
Stock (closing) A/c	Dr.		xxx	
To Trading A/c				xxx
(Closing stock brought into account)				

Presentation in final accounts

In the Trading Account	Shown on the credit side.
In the Balance Sheet	Shown on the assets side under current assets.

Tutorial note

Closing stock is the opening stock for the next accounting period. At the beginning of the next accounting period this entry is reversed to bring into account the opening stock.

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